how a given policy initiative will work in India requires deep knowledge of the local context. We need to visualize all the moving parts and think about how one proposed piece will fit into the larger context. This requires knowledge of history, institutions and politics.

As an example, infrastructure development is done by private persons in many parts of the world. But in India, private infrastructure development ran afoul of an array of problems that are unique to the Indian context.

As an example, we see many countries where regulators investigate violations of their law, and then initiate prosecution in ordinary courts. If that were brought into the Indian context, it may work poorly, as courts in India have many difficulties.

The international experience is a valuable source of knowledge about higher design principles. Concepts like freedom, the public discourse, human rights, the rule of law, dispersion of power, negotiation, scientific inquiry, etc., are all drawn from enlightenment values. These are universal principles. It is when we come down to practical problems (e.g., how to organize the agricultural spot market) that the portability of ideas across countries breaks down.

Example 20: Tax information network

In 2002, we proposed the Tax Information Network (TIN). This was envisaged as an IT system which stored facts about the income tax deducted at source, by the employer, and supported reconciliation with the claims by the employee about income tax already paid by her. The key insight for the TIN was related to the thought process of VAT credits, but it was relatively new when applied into the income tax context. TIN was envisaged as a system that would be run by National Securities Depository Limited (NSDL), the information utility.

When these ideas were exposed to many international experts, their first response was negative. They felt this was a complex system, and an unproven idea in the international discourse. They also alluded to the ways